as sugar, corn, and oats; basic materials include items such as steel and aluminum; energy is traded in the form of crude oil, natural gas, and electricity. Another category is precious metals such as gold and silver. All together, these resources make up the global commodities market.

The global market for commodities is as wide as it is deep. Since commodities are dug up, manufactured, or grown in almost every nation in the world, there are hundreds of global commodities markets. There is trading going on someplace 24 hours a day, 7 days a week. If you want to buy an ounce of gold at 10:00 p.m., it can be arranged through any large commodities broker. If you want to sell oil at 3:00 a.m., that can also be arranged.

Pick up any *Wall Street Journal* and turn to the Money and Investing section to find a partial list of commodities that trade on U.S. exchanges. The *Wall Street Journal* gives both *spot* and *futures* prices. The spot price is what physical commodity is changing hands for today, while a futures price is a contract for delivery of a set amount of the physical commodity some time in the future.

Generally, commodities are divided into groups. Those groups are

- Energy: crude oil, heating oil, natural gas, electricity
- Industrials: copper, steel, cotton
- Precious metals: gold, platinum, silver, aluminum
- Livestock: live cattle, lean hogs
- Grains and oilseeds: corn, soybeans, wheat
- Softs: cocoa, coffee, orange juice, sugar

By definition, a commodity suggests abundance. There’s a lot of it around, or it can be easily grown, dug up, or pumped out. Although there are occasional shortages that create a temporary jump in prices, the shortage tends to fix itself. If wheat prices rise because of greater demand, farmers will grow more wheat next season. If a shortage of steel causes prices to rise, producers will dig more ore. If oil is scarce, companies will pump more oil, explore for more reserves, and accelerate the pursuit for alternatives. In addition, as prices climb, new competitors come into the marketplace from all over the world.

If the price of a commodity stays high for an extended period of time, there is a move to find cheap substitutes. For example, if the price of